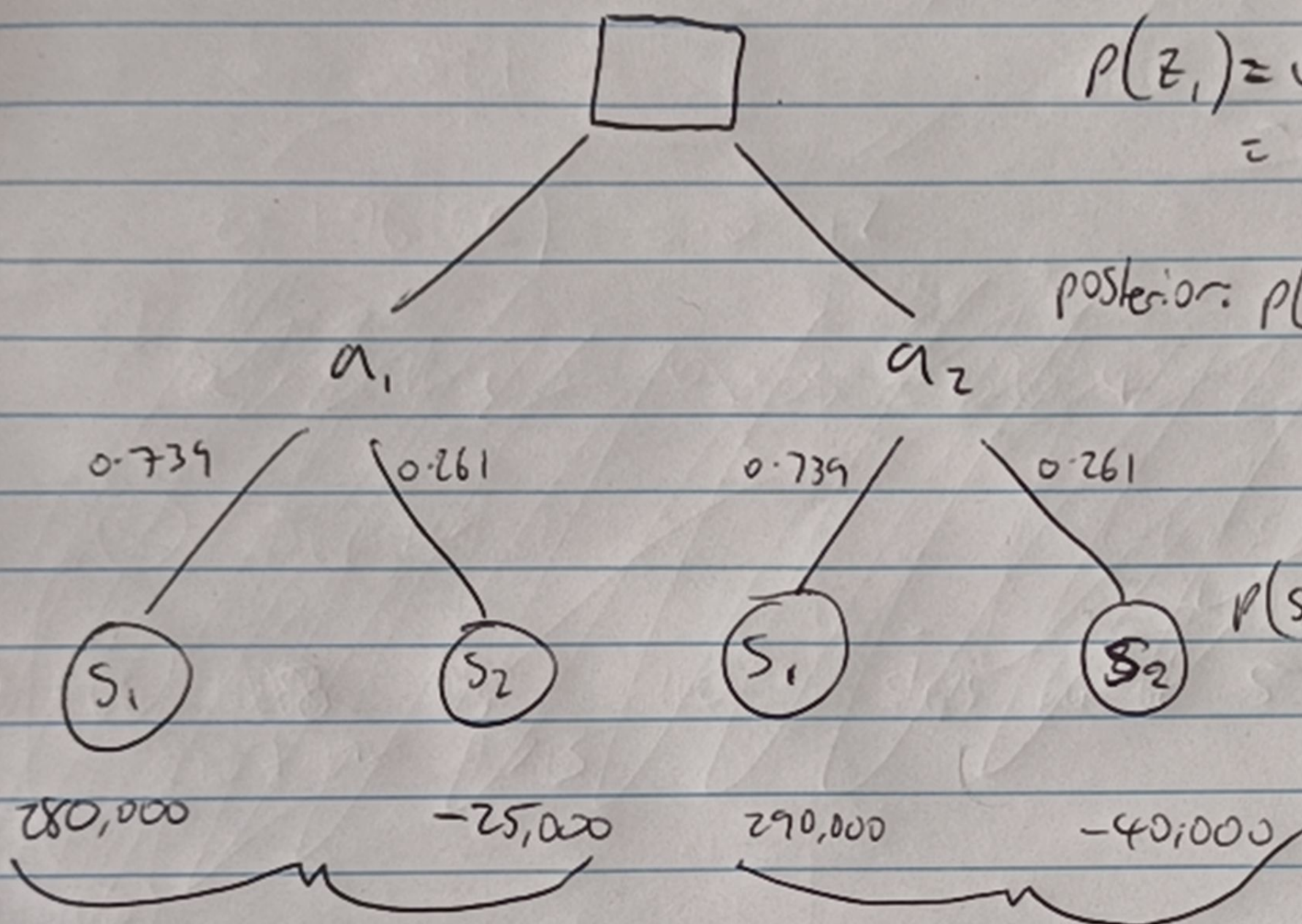


(6)

th



$$P(z_1) = 0.85(0.4) + 0.2(0.6) = 0.46$$

$$\text{posterior: } P(s_1 | z_1) = \frac{0.85(0.4)}{0.46} = 0.739$$

$$P(s_2 | z_1) = 1 - 0.739 = 0.261$$

$$E(u | z_1, a_1) = 0.739(280,000) + 0.261(-25,000) = 200,395$$

$$E(u | z_1, a_2) = 0.739(290,000) + 0.261(-40,000) = \cancel{200,587} \circled{203,870}$$

need to recompute, I thought it was 3 sigfig. not nearest whole number. better

$$E(u | a_1) = 200,435$$

$$E(u | a_2) = 203,913$$